

2.2 Making marketing decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank

Each entry shows the original paper pages (the entire question — case study extract, data tables, figures, and the question itself) followed by the mark scheme answer for that specific sub-question.

- **Total questions:** 42
- **Total marks:** 148
- **Sub-topics covered:** 5
- **Original PDF pages embedded:** 150

By series:

- **Specimen SAMs:** 8 questions
- **June 2019:** 4 questions
- **Nov 2020:** 6 questions
- **Nov 2021:** 6 questions
- **June 2022:** 7 questions
- **June 2023:** 5 questions
- **June 2024:** 6 questions

2.2.1 Product (18 questions)

Specimen SAMs · Paper 2 · Q1(b) · \$A

MCQ

1 marks

Look at this sub-question (Q1(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 44 (SPECIMEN SAMS PAPER 2)

Section C

Question number	Answer	Mark
7(a)	Award 1 mark for stating one risk Sally will face when starting her business. Financial risks as she is giving up her current paid employment (1). Insecurity of sales due to falling consumer incomes (1). Accept any other appropriate response. Do not accept risks that would not be appropriate for a personal trainer business such as Sally's, for example not being able to source trade credit.	(1) A02

Question number	Answer	Mark
7(b)	Competitor 1: 'Vitality' personal instructor	(1) A02

Question number	Answer	Mark
7(c)	Award up to 2 marks for linked points outlining one impact of the economic climate on Sally's business. Award a maximum of 1 mark if points are not linked. If unemployment is rising, people will have less disposable income (1). This will mean that luxuries, such as Sally's personal trainer service, are more likely to become less popular (1). Do not accept economic factors that would not be appropriate for a personal trainer business such as Sally's, for example changes in exchange rate.	(2) A02

A

Look at this sub-question (Q4(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 52, 64 (SPECIMEN SAMS PAPER 2)

- 2 (a) Which **two** of the following documents would be used by a business as part of its recruitment process?

Select **two** answers.

(2)

- ☐ A Person plan
- ☐ B Job specification
- ☐ C Person specification
- ☐ D Job description
- ☐ E Job plan

- (b) Which **two** of the following are advantages to a business of using just in time (JIT) production?

Select **two** answers.

(2)

- ☐ A Improved cash flow
- ☐ B Increased ability to meet an unexpected order
- ☐ C Increased ability to exploit economies of scale
- ☐ D Stock is less likely to become out of date
- ☐ E Improved product range

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

- 7 (a) Define the term 'takeover'.

(1)

- (b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

- (c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Award up to 2 marks for linked points outlining a suitable impact on Fender of using 3D printers to print ideas for new guitar models. Award a maximum of 1 mark if points are not linked. Fender can print off ideas of new guitar models faster (1), which reduces the cost of developing new musical instruments (1). Fender no longer has to send ideas for new models to an outside model builder (1) so it can produce new guitar designs at a lower cost (1). Do not accept impacts of 3D printing that would not relate to a musical instrument manufacturer such as Fender developing new products, for example mass manufacturing guitars for sale.

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2019 PAPER 2)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an element of the design mix?

Select **one** answer.

(1)

- ☐ A Cost
☐ B Price
☐ C Product
☐ D Quality

- (b) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☐ A Loan capital
☐ B Selling assets
☐ C Share capital
☐ D Stock market flotation

- (c) Explain **one** drawback to a business of using job production.

(3)

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(d) Explain **one** advantage to a business of producing a high quality product.

(3)

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(Total for Question 1 = 8 marks)



3

Turn over ►

A - Cost (1)

Look at this sub-question (Q3(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (JUNE 2019 PAPER 2)

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3 (a) Which **one** of the following is a barrier to international trade?

Select **one** answer.

(1)

- ☐ A Aesthetics
- ☐ B Ethics
- ☐ C Tariffs
- ☐ D Trade-offs

Figure 1 shows the sales revenue of a business over three years.

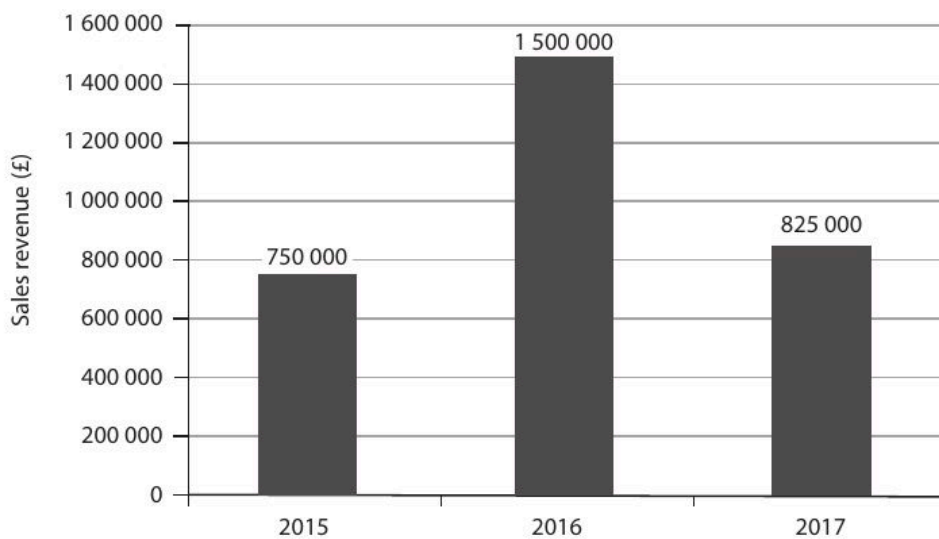


Figure 1

(b) Using the information in Figure 1, calculate the percentage increase in sales revenue from 2015 to 2016. You are advised to show your workings.

(2)

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7

Turn over ►

(c) Explain **one** method a business could use to differentiate its product.

(3)

(d) Explain **one** possible barrier to effective communication within a business.

(3)

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(e) Discuss the impact on a business of giving employees permanent contracts.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



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Turn over ►

Award 1 mark for identification of a method, plus 2 further marks for explaining this method up to a total of 3 marks. The business could add extra features to the product (1). This may make the product more attractive (1). As a result, it will catch the customer's attention (1). The business could promote the product (1). This may give the product a better brand image (1). Therefore, it may be seen as more of a necessity compared to products made by other businesses (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q4(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 10, 11, 12 (JUNE 2019 PAPER 2)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

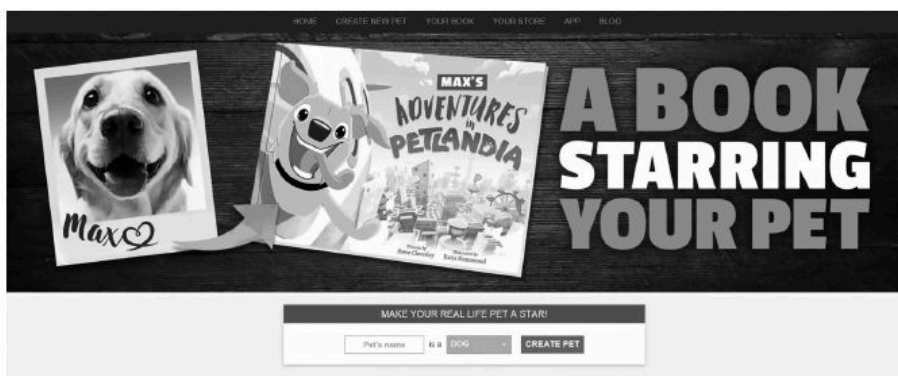
Write your answers in the spaces provided.



© Mind Candy

Mind Candy Ltd produces games and apps for computers and mobile devices. Its most successful game was *Moshi Monsters*. The game was aimed at young teenagers and was a global hit, with 80 million users in 2012.

In 2013, *Mind Candy* made large losses as sales revenue fell due to the falling popularity of its games. This was blamed on the short product life cycle of *Moshi Monsters* and increased competition in its market. As a result of these losses, *Mind Candy* reduced its workforce of software developers.



(Source from: <https://www.petlandia.com/custom-book.html#create>)

Mind Candy now needed to raise £1.2 million of extra finance. It required this finance to pay existing costs and fund the development of new apps such as *Petlandia*. *Mind Candy* believes *Petlandia* will allow it to return to organic growth. The app is free to download and allows players to design a virtual version of their own pet. This virtual pet can go on an adventure within the app. The adventure is then turned into a personalised storybook which can be purchased for £19.99.

(Source from: 'Moshi Monsters maker *Mind Candy* fears administration as sales tumble further' by Christopher Williams, 11 OCTOBER 2016 © Telegraph Media Group Limited)



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- 4 (a) Outline **one** method *Mind Candy* could use to extend the product life cycle of one of its games.

(2)



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Turn over ►

(b) Analyse the impact on *Mind Candy* of reducing the size of its workforce.

(6)

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(Total for Question 4 = 8 marks)

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Award up to 2 marks for linked points outlining a suitable method for Mind Candy. Award a maximum of 1 mark if points are not linked. Mind Candy could build extra features into existing games such as Moshi Monsters (1). This means that it would be more appealing compared to games such as Candy Crush (1). Mind Candy could make its games, such as Petlandia, available on more platforms (1). This would make it easier for more potential players to download the game (1). Do not accept a method that would not be appropriate to Mind Candy. For example, improving the packaging.

Look at this sub-question (Q2(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2020 PAPER 2)

2 (a) Which **two** of the following are external sources of finance?

(2)

Select **two** answers.

- ☐ A Loan capital
- ☐ B Retained profit
- ☐ C Sales revenue
- ☐ D Selling assets
- ☐ E Share capital

(b) Which **two** of the following are methods of external growth for a business?

(2)

Select **two** answers.

- ☐ A Improve promotion
- ☐ B Innovation
- ☐ C Merger
- ☐ D Research and development
- ☐ E Takeover

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Table 1 contains financial information about the performance of a business.

Sales revenue	£625 000
Cost of sales	£145 000
Other operating expenses and interest	£200 000

Table 1

- (c) Using the information in Table 1, calculate the gross profit made by the business.
You are advised to show your workings.

(2)

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- (d) Explain **one** benefit to a business of withdrawing a product when it enters the decline phase of its product life cycle.

(3)

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(e) Explain **one** benefit to a business from improving the aesthetic element of a product's design mix.

(3)

(Total for Question 2 = 12 marks)

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Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. Managers can now concentrate more time on products at the growth stage of the product life cycle (1). As a result, these products are more likely to have a longer maturity phase (1). Therefore, the business may gain a larger market share (1). Products in the decline phase are likely to be making a loss (1). Therefore, withdrawing a product should reduce the loss the business makes (1). Therefore, the business should have a greater level of retained profit to invest in new products (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q2(e), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2020 PAPER 2)

2 (a) Which **two** of the following are external sources of finance?

(2)

Select **two** answers.

- ☐ A Loan capital
- ☐ B Retained profit
- ☐ C Sales revenue
- ☐ D Selling assets
- ☐ E Share capital

(b) Which **two** of the following are methods of external growth for a business?

(2)

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- ☐ A Improve promotion
- ☐ B Innovation
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- ☐ E Takeover

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Turn over ►

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(3)

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Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. This may make the product appear more attractive compared to rival products (1). Therefore, the product may gain a unique selling point (1). Thus, the business may be able to charge a premium price (1). This could add value to the product (1). Therefore, the business may be able to generate a larger profit margin from the product (1). This may give the business more retained profit to reinvest in new products (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q2(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2021 PAPER 2)

2 (a) Which **two** of the following are examples of goods?

(2)

Select **two** answers.

- ☐ A Cars
- ☐ B Education
- ☐ C Hairdressing
- ☐ D Televisions
- ☐ E Train journeys

(b) Which **two** of the following would allow a business to improve employee retention?

(2)

Select **two** answers.

- ☐ A Decreased remuneration
- ☐ B Excessive communication
- ☐ C Introducing job rotation
- ☐ D Providing training
- ☐ E Reduced employee autonomy

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Table 1 contains financial information about a business.

Sales revenue	£800 000
Cost of sales	£225 000
Gross profit	£575 000
Other operating expenses and interest	£200 000

Table 1

(c) Using the information in Table 1, calculate the net profit of the business.

(2)

£

(d) Explain **one** reason why aesthetics may be important in the design mix of a product.

(3)



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Turn over ►

(e) Explain **one** drawback to a business of introducing a system of quality assurance.

(3)

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(Total for Question 2 = 12 marks)



A - Cars; D - Televisions

Look at this sub-question (Q2(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 4, 5, 6 (NOV 2021 PAPER 2)

2 (a) Which **two** of the following are examples of goods?

(2)

Select **two** answers.

- ☐ A Cars
- ☐ B Education
- ☐ C Hairdressing
- ☐ D Televisions
- ☐ E Train journeys

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(2)

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(3)



P 6 6 4 7 9 A 0 5 2 4

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Turn over ►

(e) Explain **one** drawback to a business of introducing a system of quality assurance.

(3)

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(Total for Question 2 = 12 marks)



Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks.

This may make the product look more attractive (1). Therefore, customers may choose the product over those of a rival (1). As a result, market share may increase (1).

Making the product look more attractive may be a source of differentiation (1). Therefore, potential rival businesses may find it harder to enter the market (1). As a result, the business may be able to charge a premium price (1).

Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q7(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (NOV 2021 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Dmitry Kalinovsky/Shutterstock)

Figure 4: Automation at an ASOS warehouse

customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website.

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'.

The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver



Figure 5: ASOS's Instagram bio

However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers.

(Source: adapted from <https://jilt.com/upsell/asos-shipping-logistics/> and <https://sproutsocial.com/insights/social-media-marketing-examples/>)



- 7 (a) Give **one** element of the marketing mix.

(1)

Figure 6 shows the ASOS share price over time.

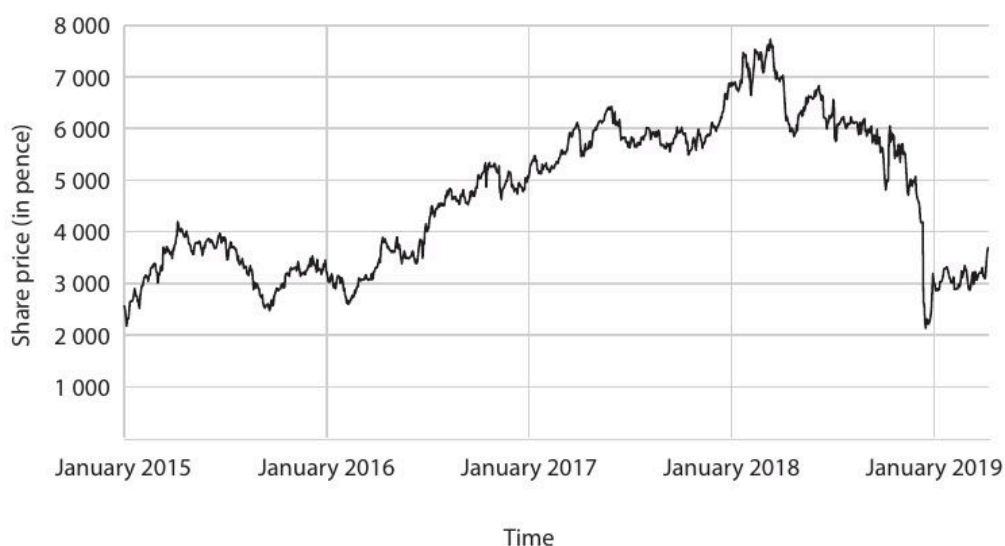


Figure 6

(Source: adapted from <https://www.asosplc.com/investors/share-price/share-price-chart>)

- (b) Using the information in Figure 6, identify the year when the ASOS share price was higher than £70.

(1)



(c) Outline **one** advantage to ASOS of increasing the range of products offered for sale on its website.

(2)

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In order to increase its profits, ASOS is considering two options:

Option 1: lower prices

Option 2: advertise on more social media channels.

(d) Justify which **one** of these two options ASOS should choose.

(9)

Handwriting practice lines for the answer.



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(e) Evaluate whether high quality logistics will give ASOS a competitive advantage.
You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS

TOTAL FOR PAPER = 90 MARKS



Award up to 2 marks for linked points outlining an advantage to ASOS of increasing the range of products offered for sale on its website. Award a maximum of 1 mark if points are not linked.

It will encourage more customers in their 20s to buy clothes from the website (1). Therefore, ASOS should experience an increase in sales (1).

The website will become more convenient to use because there is more choice (1). Thus, ASOS will become more attractive to customers than competitors such as Boohoo (1).

Do not accept an advantage that would not be appropriate to ASOS.

Look at this sub-question (Q2(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 5, 6, 7 (JUNE 2022 PAPER 2)

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2 (a) Which **two** of the following are stages of the product life cycle?

(2)

Select **two** answers.

- ☐ A Birth
- ☐ B Cancellation
- ☐ C Decline
- ☐ D Growth
- ☐ E Marketing

(b) Which **two** of the following are elements of the design mix?

(2)

Select **two** answers.

- ☐ A Cost
- ☐ B Function
- ☐ C Materials
- ☐ D Price
- ☐ E Quality



P 6 5 5 6 3 A 0 5 2 8

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Turn over ►

Table 1 contains information about a new piece of machinery that a business wants to purchase.

Average annual profit	£200 000
Cost of new machine	£200 000

Table 1

(c) Using the information in Table 1, calculate the average rate of return.

(2)

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(d) Explain **one** advantage to a business of having motivated employees.

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P 6 5 5 6 3 A 0 7 2 8

7

Turn over ►

The only correct answer is C – Decline and D – Growth. A is not correct because it is not a stage of the product life cycle. B is not correct because it is not a stage of the product life cycle. E is not correct because it is not a stage of the product life cycle.

Look at this sub-question (Q2(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 5, 6, 7 (JUNE 2022 PAPER 2)

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P 6 5 5 6 3 A 0 7 2 8

7

Turn over ►

The only correct answer is A – Cost and B – Function. C is not correct because it is not an element of the design mix. D is not correct because it is not an element of the design mix. E is not correct because it is not an element of the design mix.

Look at this sub-question (Q3(d), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 8, 9, 10 (JUNE 2022 PAPER 2)

3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ A Advertising
- ☐ B Customer engagement
- ☐ C Product quality
- ☐ D Use of different payment systems

Figure 2 shows a business' sales revenue from each of its four locations in South Yorkshire in 2020.

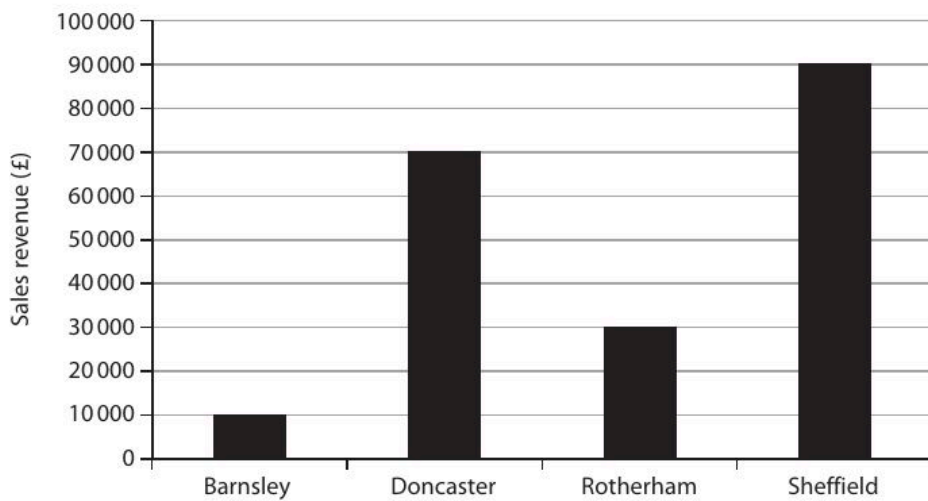


Figure 2

(b) Using the information in Figure 2, calculate the average sales revenue for this business in 2020. You are advised to show your workings.

(2)

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(c) Explain **one** method that a business could use to reduce its environmental impact.

(3)

(d) Explain **one** method that a business could use to extend the life cycle of one of its products.

(3)



9

Turn over ►

(e) Discuss the impact on a company of using retained profit as a source of finance for expansion.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

10



Award 1 mark for identification of a method, plus 2 further marks for explaining this method up to a total of 3 marks. The business could reduce the price (1). Therefore, the product now appears better value for money than rival products (1). Thus, sales of the product should start to rise (1). The business could target a new market segment (1). As a result, the product may now become attractive to a new category of consumers (1). Therefore, preventing the product from going into decline (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2023 PAPER 2)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 Figure 1 shows a diagram of the product life cycle.

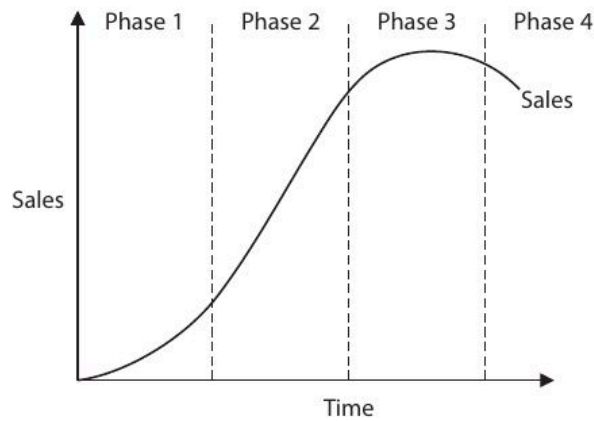


Figure 1

- (a) What is Phase 4 called?

(1)

Select **one** answer.

- ☐ A Decline
- ☐ B Growth
- ☐ C Introduction
- ☐ D Maturity

- (b) Which **one** of the following is an element of the design mix?

(1)

Select **one** answer.

- ☐ A Function
- ☐ B Price
- ☐ C Productivity
- ☐ D Profit



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(c) Explain **one** reason why a business might use performance reviews with its employees.

(3)

(d) Explain **one** impact on a business of using flow production.

(3)

(Total for Question 1 = 8 marks)

3

Turn over ►



The only correct answer is A – Decline. B is not correct because it is the incorrect phase. C is not correct because it is the incorrect phase. D is not correct because it is the incorrect phase.

Look at this sub-question (Q1(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2023 PAPER 2)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 Figure 1 shows a diagram of the product life cycle.

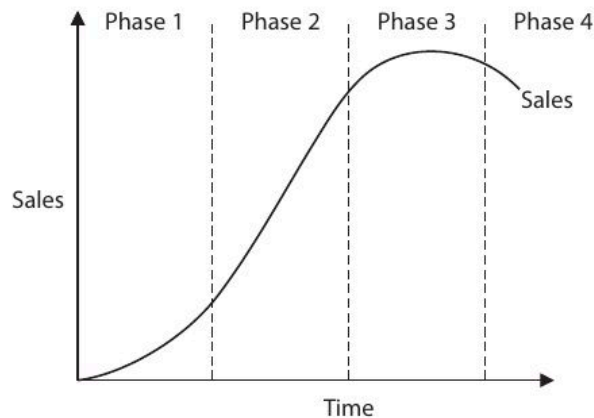


Figure 1

- (a) What is Phase 4 called?

(1)

Select **one** answer.

- ☐ A Decline
☐ B Growth
☐ C Introduction
☐ D Maturity

- (b) Which **one** of the following is an element of the design mix?

(1)

Select **one** answer.

- ☐ A Function
☐ B Price
☐ C Productivity
☐ D Profit



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(c) Explain **one** reason why a business might use performance reviews with its employees.

(3)

(d) Explain **one** impact on a business of using flow production.

(3)

(Total for Question 1 = 8 marks)

3

Turn over ►



The only correct answer is A – Function. B is not correct because it is not an element of the design mix. C is not correct because it is not an element of the design mix. D is not correct because it is not an element of the design mix.

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2024 PAPER 2)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an element of the design mix?

(1)

Select **one** answer.

- ☐ A Aesthetics
- ☐ B Extension
- ☐ C Packaging
- ☐ D Production

- (b) Which **one** of the following is the best definition of a trade bloc?

(1)

Select **one** answer.

- ☐ A A group of countries that trade freely between themselves
- ☐ B A problem involving suppliers not delivering raw materials
- ☐ C A tariff on exported goods and services
- ☐ D A tariff on imported goods and services

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(c) Explain **one** reason why a business may increase its product range.

(3)

(d) Explain **one** advantage to a business of using just in time (JIT) stock control.

(3)

(Total for Question 1 = 8 marks)

3

Turn over ►



The only correct answer is A - Aesthetics. B is not correct because it is not an element of the design mix. C is not correct because it is not an element of the design mix. D is not correct because it is not an element of the design mix.

Look at this sub-question (Q1(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 2, 3 (JUNE 2024 PAPER 2)

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an element of the design mix?

(1)

Select **one** answer.

- ☐ A Aesthetics
- ☐ B Extension
- ☐ C Packaging
- ☐ D Production

- (b) Which **one** of the following is the best definition of a trade bloc?

(1)

Select **one** answer.

- ☐ A A group of countries that trade freely between themselves
- ☐ B A problem involving suppliers not delivering raw materials
- ☐ C A tariff on exported goods and services
- ☐ D A tariff on imported goods and services

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(c) Explain **one** reason why a business may increase its product range.

(3)

(d) Explain **one** advantage to a business of using just in time (JIT) stock control.

(3)

(Total for Question 1 = 8 marks)

3

Turn over ►



Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. It may attract more customers (1). This is because there is more likely to be a product that suits different consumer needs (1). Therefore, the business will be able to make more sales (1). This may make it harder for other firms to find a gap in the market (1). Therefore, this prevents the market becoming competitive (1). This allows the business to maintain its market share (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q4(b), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 9, 10, 26 (JUNE 2024 PAPER 2)

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SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** method of internal growth that *Popeyes* could use.

(2)



P 7 5 5 2 6 A 0 9 2 4

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(Total for Question 4 = 8 marks)

P 7 5 5 2 6 A 0 1 0 2 4

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Popeyes is an American fried chicken fast-food chain. It is well known for its Louisiana style fried chicken that is marinated overnight in a mix of spices. As well as traditional chicken sandwiches and chicken wings, *Popeyes* has unusual items on its menu such as American style biscuits and Cajun gravy. The success of its restaurants has surprised the company. To meet the high level of demand for its fried chicken, *Popeyes* had to redesign the layout of its kitchens and serving areas and re-train employees. Since opening in 2021, its Stratford restaurant in London has become *Popeyes*' best performing outlet in the world, often with queues of between 50 to 100 people waiting outside.



(Source: © Nigel J. Harris/Shutterstock)

Figure 2

However, *Popeyes* is not the only American fast-food chain that has found the UK attractive. Wendy's, Shake Shack and Wingstop have all entered the UK market since 2018. Together with established chains, such as KFC and Burger King, this has made the UK fast-food market highly competitive. This has created problems for restaurant managers since they are struggling to find enough trained employees in places such as London and Birmingham. Skilled chefs and kitchen staff are in high demand, which has led to higher wage rates.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)



Indicative content: It allows Louisiana style chicken to stand out in a crowded fast-food market (AO2). It may discourage other fried chicken firms from opening new branches close to a Popeyes location (AO2). As a result, more customers may choose Popeyes over their rivals. This may increase market share, allowing greater revenues to be generated (AO3a). Therefore, with less competition, Popeyes can charge higher prices and as a result, increase its profit margins (AO3a). Level 1 (1-2): Limited application. Level 2 (3-4): Sound application with some inconsistencies. Level 3 (5-6): Detailed application throughout with detailed interconnected points and logical chains of reasoning.

2.2.2 Price (5 questions)

Specimen SAMs · Paper 2 · Q4(b) · \$B

Analyse

6 marks

Look at this sub-question (Q4(b), 6 marks) within the pages below.

ORIGINAL PAPER — PAGES 52, 53, 64 (SPECIMEN SAMS PAPER 2)

- 2 (a) Which **two** of the following documents would be used by a business as part of its recruitment process?

Select **two** answers.

(2)

- ☐ A Person plan
- ☐ B Job specification
- ☐ C Person specification
- ☐ D Job description
- ☐ E Job plan

- (b) Which **two** of the following are advantages to a business of using just in time (JIT) production?

Select **two** answers.

(2)

- ☐ A Improved cash flow
- ☐ B Increased ability to meet an unexpected order
- ☐ C Increased ability to exploit economies of scale
- ☐ D Stock is less likely to become out of date
- ☐ E Improved product range

Table 1 contains information about a business.

Sales revenue	£300 000
Cost of sales	£210 000
Gross profit	£90 000

Table 1

- (c) Using the information in Table 1 calculate the gross profit margin. You are advised to show your workings.

(2)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

- 7 (a) Define the term 'takeover'.

(1)

- (b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

- (c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Indicative content: It allows Fender to keep manufacturing guitars using job production and the finest raw materials (AO2). This may reduce Fender's competitive advantage in the market for cheaper types of guitar (AO2). This is because high prices will cover the high unit cost of manufacturing a hand-made guitar, allowing Fender to remain profitable (AO3a). This could result in Fender losing market share in the guitar market, which reduces revenues and profitability (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application... Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Look at this sub-question (Q7(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (NOV 2020 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.

Iceland is a supermarket that sells frozen food. Although the grocery industry is very competitive, *Iceland* enjoyed a successful 2017. Sales revenue increased by 2.0% allowing profits to increase by £9.5 million to £160 million.

Iceland believes this success has been due to improved marketing. It has introduced new products using the *Slimming World* and *Millie's Cookies* brand names. It also launched a new advertising campaign called 'The Power of Frozen'. In addition it has developed a new store format called 'The Food Warehouse'. These stores are much larger than a normal *Iceland* store which allows them to stock more luxury products. *Iceland* hopes that The Food Warehouse will help it to appeal to high-income customers and it plans to open more stores.



© Dom J/Shutterstock

In 2018, *Iceland* received positive publicity from its decision to ban all plastic packaging on its own-brand products by 2023. It intends to replace plastic with recycled paper,



as shown in Figure 3. A survey of 5,000 of its customers showed that 80% of them agreed with the change. Pressure groups, such as Friends of the Earth, have welcomed *Iceland's* decision. Plastic waste has caused pollution of the world's oceans and has killed marine life. Pressure groups hope that *Iceland's* decision will be repeated by other supermarkets in the UK.

Figure 3: *Iceland's* new packaging

(Source: adapted from <https://www.theguardian.com/business/2018/jan/15/iceland-vows-to-eliminate-plastic-on-all-own-branded-products> and <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

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- 7 (a) Define the term **pressure group**.

(1)

Figure 4 shows information about the change in *Iceland's* sales revenue between 2013 and 2017.

Percentage change in sales revenue 2013 to 2017

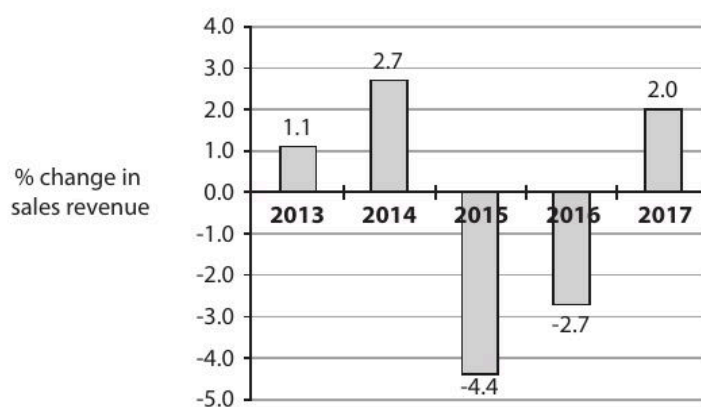


Figure 4

(Source: <http://about.iceland.co.uk/wp-content/uploads/2017/12/Iceland-Topco-Ltd-2017-results.pdf>)

- (b) Using the information in Figure 4, identify the year with the smallest percentage change in *Iceland's* sales revenue.

(1)



P 6 1 6 4 7 A 0 1 9 2 4

(c) Outline **one** factor that could influence *Iceland's* choice of pricing strategy for its range of new products.

(2)

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In order to recruit employees for its new 'The Food Warehouse' stores, *Iceland* is considering two options:

Option 1: offer permanent contracts

Option 2: offer temporary contracts.

(d) Justify which **one** of these two options *Iceland* should choose.

(9)

Handwriting practice lines consisting of 20 horizontal dotted lines.



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Handwriting practice area with six horizontal dotted lines.

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- (e) Evaluate whether *Iceland* is likely to benefit from its decision to ban all plastic packaging on its own-brand products. You should use the information provided as well as your knowledge of business.

(12)



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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



Award up to 2 marks for linked points outlining a factor that could influence Iceland's choice of pricing strategy. Award a maximum of 1 mark if points are not linked. The grocery market has lots of competition (1). Therefore, Iceland may need to use a competitive pricing strategy (1). Millie's Cookies is a popular brand (1). Therefore, Iceland may be able to charge a premium price (1). Do not accept factors that would not be appropriate for Iceland. For example, the variable cost of the raw materials.

Look at this sub-question (Q7(d), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (NOV 2021 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Dmitry Kalinovsky/Shutterstock)

Figure 4: Automation at an ASOS warehouse

customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website.

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'.

The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver



Figure 5: ASOS's Instagram bio

However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers.

(Source: adapted from <https://jilt.com/upsell/asos-shipping-logistics/> and <https://sproutsocial.com/insights/social-media-marketing-examples/>)



- 7 (a) Give **one** element of the marketing mix.

(1)

Figure 6 shows the ASOS share price over time.

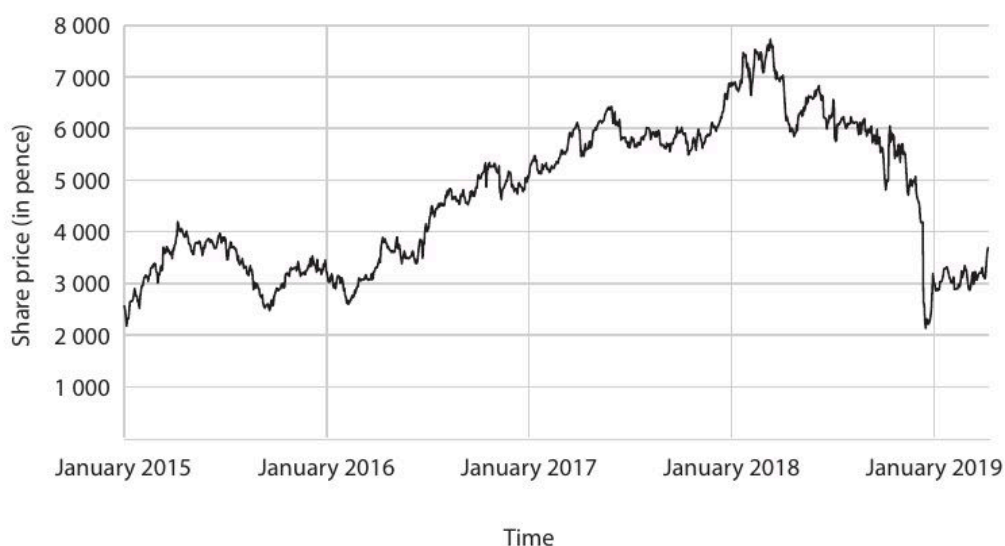


Figure 6

(Source: adapted from <https://www.asosplc.com/investors/share-price/share-price-chart>)

- (b) Using the information in Figure 6, identify the year when the ASOS share price was higher than £70.

(1)



(c) Outline **one** advantage to ASOS of increasing the range of products offered for sale on its website.

(2)

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In order to increase its profits, ASOS is considering two options:

Option 1: lower prices

Option 2: advertise on more social media channels.

(d) Justify which **one** of these two options ASOS should choose.

(9)

Handwriting practice lines for the answer.



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- (e) Evaluate whether high quality logistics will give ASOS a competitive advantage.
You should use the information provided as well as your knowledge of business.

(12)

Handwriting practice area with horizontal lines.



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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS

TOTAL FOR PAPER = 90 MARKS



Indicative content: This should allow ASOS's clothing such as shirts and blouses to appear better value for money than similar items offered by Boohoo (AO2). Advertising on more social media channels such as Facebook and Twitter should lead to a greater awareness of ASOS's clothes amongst its target market of customers in their 20s (AO2). This may increase demand for ASOS's products amongst its target market. As a result, ASOS's revenues could increase, allowing profitability to increase (AO3a). This may make ASOS more attractive to its target market since customers will now be able to share how good they look in ASOS's clothes with millions of other people who are of a similar age. This should increase demand for its products, which should allow ASOS to increase revenues resulting in increased profits (AO3a). However, the gross profit margin on each item of clothing will decrease and overall profits will only increase if ASOS sells significantly more items of clothing by reducing prices. Considering the market is more competitive this may be unlikely (AO3b). However, the market has become much more competitive and it is likely that advertising on more social media channels may not be enough to boost sales since it can easily be copied by rival retailers such as Boohoo. As a result, profitability may not increase (AO3b). Level 1 (1-3): Limited application; simple justification. Level 2 (4-6): Sound application; sound justification. Level 3 (7-9): Detailed application; clear justification based on thorough evaluation.

Look at this sub-question (Q6(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17, 26 (JUNE 2023 PAPER 2)

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6 (a) State **one** possible influence on the pricing strategy used by *Ocado*.

(1)

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(b) Outline **one** drawback to *Ocado* of using just in time (JIT) stock control.

(2)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



17

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SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



Figure 3: An Ocado 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service.

In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from <https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon> and <https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html>)



Award 1 mark for stating one possible influence on Ocado's pricing strategy. Cost of purchasing groceries from Heinz/Marks and Spencer (1). How much shoppers are willing to spend on food (1). What competitors, such as Asda, are charging (1). To award 1 mark there must be evidence of application.

Look at this sub-question (Q7(e), 12 marks) within the pages below.

ORIGINAL PAPER — PAGES 16, 17, 18, 19, 20, 21, 27 (JUNE 2024 PAPER 2)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 3 and read Extract B, then answer Question 7.

- 7 (a) Give **one** non-financial method to motivate employees in a business.

(1)

Figure 4 shows the UK market share of the four largest cinema chains in 2016 and 2019.

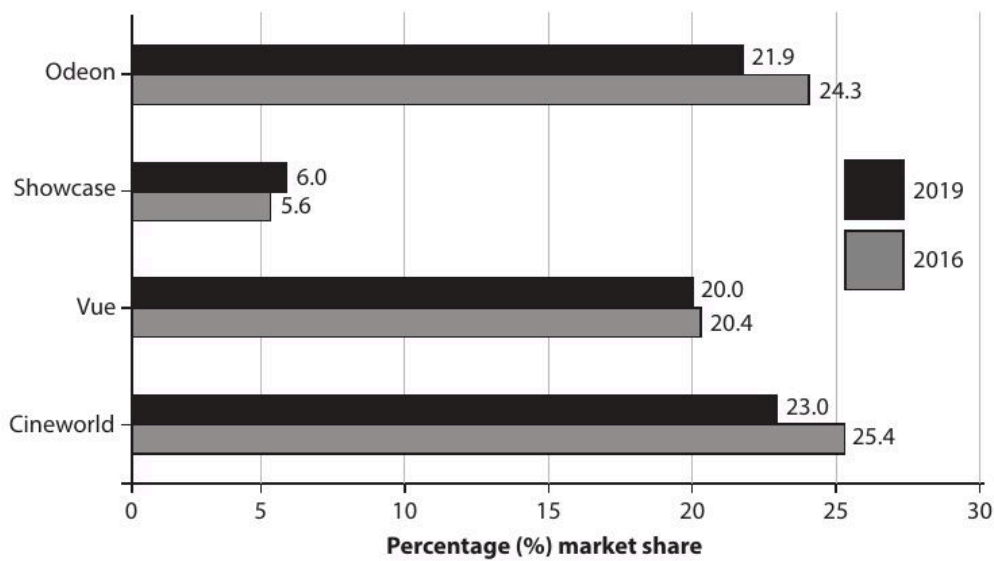


Figure 4

(Source: <https://www.bfi.org.uk/industry-data-insights/statistical-yearbook-2017-and-2020>)

- (b) Using the information in Figure 4, identify the only cinema chain that increased its market share in 2019.

(1)





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(c) Outline **one** likely responsibility for a manager of a *Cineworld* cinema.

(2)

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(e) Evaluate the importance of charging lower prices to allow *Cineworld* to return to profit. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie.

In 2019, *Cineworld* had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at *Cineworld* cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive.

These factors led to *Cineworld* making a £537 million loss in 2022, leaving the company close to failure. The *Cineworld* share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments.



(Source: Chaz Bharj / Alamy Stock Photo)

Figure 3

Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, *Cineworld* has so far refused to do this. It still charges £18.69 for its most expensive tickets.

(Source: adapted from © Telegraph Media Group Limited 2022 / 2023)

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3

Indicative content: Lower prices means that a potential cinema goer now spends a smaller percentage of their income on a trip to the cinema (AO1b). Price is just one of the factors that a customer considers when purchasing a service such as a cinema ticket (AO1b). Therefore, watching a movie in a multi-screen cinema becomes more attractive compared to watching it at home on a streaming service such as Netflix. This may increase demand for cinema seats (AO2). If the quality of the movies shown by Cineworld is poor, then lower prices will not encourage more people to visit. People may also still have health concerns about being so close to other people and this may discourage them from visiting Cineworld's cinemas despite the lower prices (AO2). As more people visit the cinema, Cineworld will generate a higher contribution from ticket sales and also make an additional contribution from the sale of other products such as popcorn and ice cream. This should help to pay off the fixed costs of the cinema, allowing it to move past its break even point and return to profit (AO3a). Therefore, lower prices may reduce revenues, rather than increase them, leading to an increased loss rather than a return to profit. This is because other elements in the marketing mix may be more important, such as product, and these factors are the ones that ultimately generate customer demand for a cinema trip (AO3a). However, during the global pandemic people got used to paying for and watching streaming services such as Apple TV and Netflix. Therefore, they may have lost the habit of visiting cinemas. Therefore, lowering prices may not stimulate enough extra demand and the increase in customers may not offset the reduction in prices, increasing Cineworld's losses rather than moving the company back towards profit (AO3b). However, in the long-term lower prices may encourage people back to the cinema, once health concerns have subsided and the large movie studios start to release blockbuster movies that cannot be seen on streaming services. It ultimately depends on whether Cineworld can survive long enough for that to happen (AO3b). Level 1 (1-4): Elements of knowledge, limited application, supported by generic assertions. Level 2 (5-8): Mostly accurate knowledge, sound application, conclusion based on sound evaluation. Level 3 (9-12): Accurate knowledge throughout, detailed application, valid and well-reasoned conclusion based on thorough evaluation.

2.2.3 Promotion (8 questions)

Specimen SAMs · Paper 2 · Q6(b) · \$B

Outline

2 marks

Look at this sub-question (Q6(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 56, 64 (SPECIMEN SAMS PAPER 2)

(c) Explain **one** reason why a business may decide to pay its workers a bonus.

(3)

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(d) Explain **one** drawback to a business of not being able to retain its employees.

(3)

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SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

- 7 (a) Define the term 'takeover'.

(1)

- (b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

- (c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Award up to 2 marks for linked points outlining a benefit to Fender from using social media. Award a maximum of 1 mark if points are not linked. It enables Fender to tweet that artists such as Bruno Mars use its instruments (1), therefore improving the brand image of its guitars (1). Fender can target different types of musician more effectively (1) because each Fender brand has its own social media account as shown in Figure 4 (1). Do not accept benefits from using social media that would not relate to a musical instrument manufacturer such as Fender, for example to promote a local in-store event.

Look at this sub-question (Q7(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 58, 65, 66 (SPECIMEN SAMS PAPER 2)

SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** impact on Fender of using 3D printers to print out ideas for new guitar models.

(2)

- (b) Analyse the impact on Fender of charging high prices for its musical instruments.

(6)

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In order to improve its competitive advantage, Argos has two options:

Option 1: Lower prices

Option 2: Increase the speed of home delivery

(d) Justify which **one** of these options Argos should choose.

(9)

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- (e) Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

(12)

Look at this sub-question (Q6(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (JUNE 2019 PAPER 2)

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6 (a) State **one** drawback to *Mind Candy* of organic growth.

(1)

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(b) Outline **one** method *Mind Candy* could use to promote its new app.

(2)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



P 5 9 9 2 6 A 0 1 7 2 4

17

Turn over ►

Award up to 2 marks for linked points outlining a method Mind Candy could use. Award a maximum of 1 mark if points are not linked. Mind Candy could send out emails to all of its past customers (1) since they would be part of the target market for Petlandia (1). Mind Candy could sponsor cartoons involving pets (1). This would make families more aware of the new app (1). Do not accept methods of promotion that would not be appropriate for Mind Candy. For example, promotions such as.

Look at this sub-question (Q6(b), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (NOV 2020 PAPER 2)

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6 (a) State **one** job role that may be found in a fast food outlet such as *KFC*.

(1)

(b) Outline **one** benefit to *KFC* of using social media to interact with its customers.

(2)



15

Turn over ►

In order to regain its lost market share, *KFC* considered two options:

Option 1: lower prices

Option 2: use viral advertising.

(c) Justify which **one** of these two options *KFC* should choose.

(9)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



P 6 1 6 4 7 A 0 1 7 2 4

17

Turn over ►

Award up to 2 marks for linked points outlining a benefit to KFC. Award a maximum of 1 mark if points are not linked. KFC could quickly tweet any special offers that it has on its menu (1). Therefore, potential customers could react to this much faster than with traditional advertising (1). KFC could target advertising at certain types of consumer (1). As a result, it could use Facebook profiles to target specific market segments of the fast food market (1). Do not accept benefits that would not relate to KFC. For example, it allows them to contact potential customers faster.

Look at this sub-question (Q6(c), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17 (NOV 2020 PAPER 2)

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6 (a) State **one** job role that may be found in a fast food outlet such as *KFC*.

(1)

(b) Outline **one** benefit to *KFC* of using social media to interact with its customers.

(2)



15

Turn over ►

In order to regain its lost market share, *KFC* considered two options:

Option 1: lower prices

Option 2: use viral advertising.

(c) Justify which **one** of these two options *KFC* should choose.

(9)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



P 6 1 6 4 7 A 0 1 7 2 4

17

Turn over ►

Indicative content: KFC could lower the price of its most popular meals such as Popcorn Chicken (AO2). KFC could make better use of viral advertising to get a clear marketing message to consumers of fast food (AO2). This would make its products appear better value for money than those offered by competitors. As a result, KFC may make more sales in the market. This should lead to an increase in its market share (AO3a). This should reach large numbers of consumers as quickly as possible and could be reposted by social media users, increasing the spread of the marketing message. The viral nature of its advertising may attract customers back to KFC, increasing its market share (AO3a). However, after switching to rival fast food restaurants when KFC ran out of chicken, consumers may now prefer the taste and reliability of service offered by rivals such as McDonalds. As a result, the impact of lowering prices on allowing KFC to recapture market share may be limited (AO3b). However, viral advertising may not be passed on by the recipient and could even be altered before being reposted. Therefore, if this happens, KFC's apology could be changed to something that is offensive. This could cause market share to fall further since it could upset customers (AO3b).

Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b).

Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b).

Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Look at this sub-question (Q7(b), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 19, 20, 21, 22, 23, 24, 25 (JUNE 2022 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*.

Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from <https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/> and <https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores>)



(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

7 (a) Define the term **multinational**.

(1)

Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020.

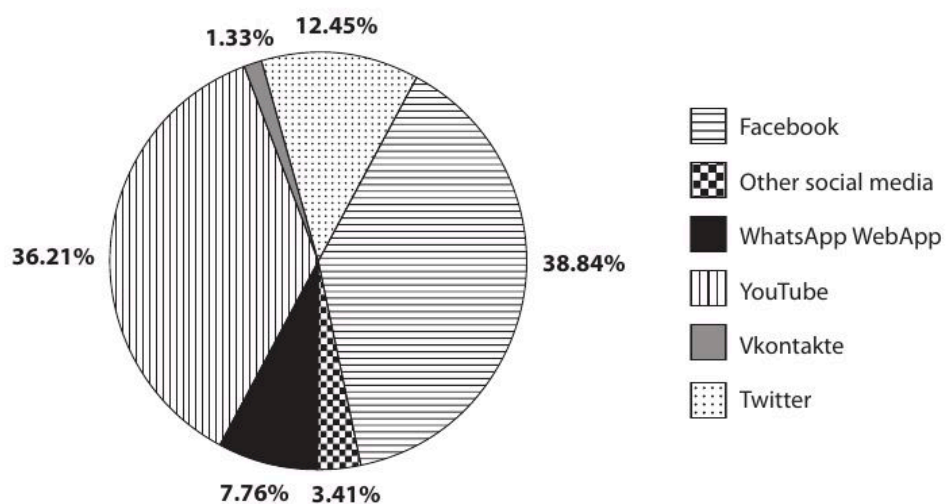


Figure 5

(Source: adapted from <https://www.similarweb.com/website/jdsports.co.uk#social>)

(b) Using the information in Figure 5, identify the social media site that generated the smallest percentage of customers for www.jdsports.co.uk.

(1)





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(c) Outline **one** benefit to *JD Sports* of having a website.

(2)

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Turn over ►



In order to improve its competitive advantage *JD Sports* is considering two options:

Option 1: targeted online advertising

Option 2: sponsorship.

(d) Justify which **one** of these two options *JD Sports* should choose.

(9)

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23

Turn over ►

(e) Evaluate whether the takeover of Footasylum will allow *JD Sports* to increase its profit. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS

25



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Look at this sub-question (Q7(d), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 19, 20, 21, 22, 23, 24, 25 (JUNE 2022 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*.

Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from <https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/> and <https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores>)



(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

7 (a) Define the term **multinational**.

(1)

Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020.

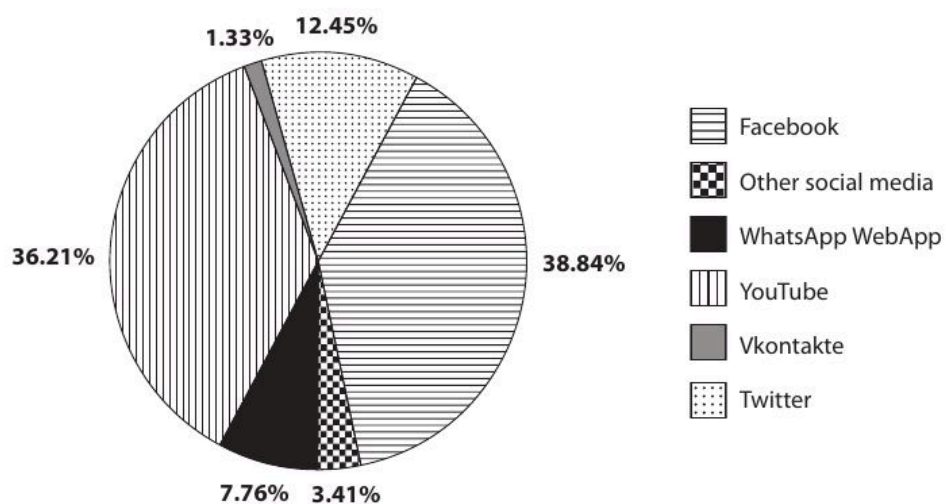


Figure 5

(Source: adapted from <https://www.similarweb.com/website/jdsports.co.uk#social>)

(b) Using the information in Figure 5, identify the social media site that generated the smallest percentage of customers for www.jdsports.co.uk.

(1)





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(c) Outline **one** benefit to *JD Sports* of having a website.

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Turn over ►



In order to improve its competitive advantage *JD Sports* is considering two options:

Option 1: targeted online advertising

Option 2: sponsorship.

(d) Justify which **one** of these two options *JD Sports* should choose.

(9)

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23

Turn over ►

(e) Evaluate whether the takeover of Footasylum will allow *JD Sports* to increase its profit. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS

25



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Indicative content: This could allow JD Sports to focus on its key market segment of 16-24 year olds who are much more likely to see online advertising (AO2). Sponsorship could make customers of trainers more loyal to the JD Sports brand and reinforce their brand of 'king of trainers' (AO2). This could influence this market segment into believing that certain products are highly fashionable and are more of a necessity. As a result, JD Sports may be able to charge a premium for these products (AO3a). By sponsoring Bournemouth football club this may generate more publicity for the brand and attract more customers to JD Sports stores increasing its market share compared to Sports Direct (AO3a). However, these products are not manufactured by JD Sports and they are available at a lot of other retail outlets such as Sports Direct. Since the market is highly competitive, it is possible that JD Sports can only charge a slightly higher price. It depends on the degree to which the targeted market value the experience of buying a product from this company over another. It maybe that the targeted market segment prefers to purchase from the 'King of trainers' (AO3b). However, sponsorship is risky. Many potential customers may not be interested in football and, if they are, they may support other more popular or local teams. Sponsorship of sports teams may also prevent JD Sports from becoming a general fashion retailer as opposed to a sporting goods store. Therefore, it ultimately depends on who JD Sports sponsor as to whether this will allow them to improve their competitive advantage (AO3b). Levels: Level 0 No rewardable material. Level 1 (1–3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4–6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7–9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Look at this sub-question (Q3(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2024 PAPER 2)

- 3 (a) Which **one** of the following elements of the marketing mix relates to the distribution of a product to the consumer?

(1)

Select **one** answer.

- ☐ A Place
☐ B Price
☐ C Product
☐ D Promotion

Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

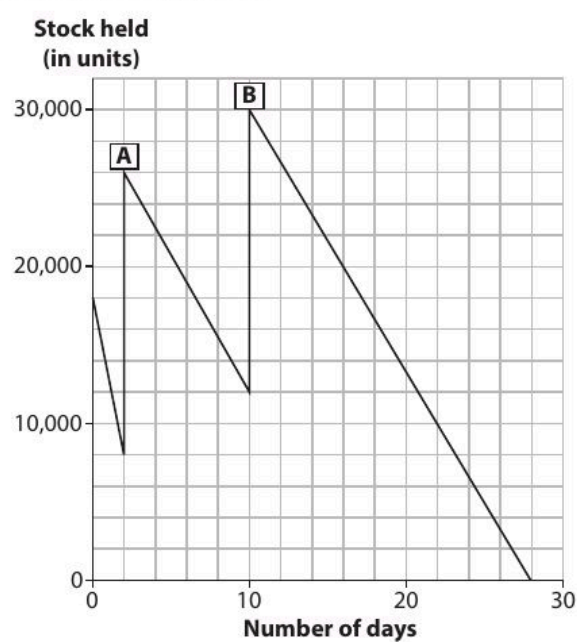


Figure 1

- (b) Using the information in Figure 1, calculate how many days it took for the business to run out of stock after receiving its last delivery in June 2023.

(2)

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(c) Explain **one** reason why a business may use sponsorship to promote a product.

(3)

(d) Explain **one** disadvantage to a business of using remote working.

(3)



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7

Turn over ►

(e) Discuss the benefit to a business from reducing its environmental impact.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason, up to a total of 3 marks. So that the product becomes associated with a particular event or personality (1). This may enhance the brand of the product (1). Therefore, the business may be able to charge a higher price (1). It gives the product greater levels of awareness (1). This means that more customers may be tempted to try the product (1). Therefore, sales of the product may increase (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

2.2.4 Place (5 questions)

Specimen SAMs · Paper 2 · Q1(a) · §A

MCQ

1 marks

Look at this sub-question (Q1(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 44 (SPECIMEN SAMS PAPER 2)

Section C

Question number	Answer	Mark
7(a)	Award 1 mark for stating one risk Sally will face when starting her business. Financial risks as she is giving up her current paid employment (1). Insecurity of sales due to falling consumer incomes (1). Accept any other appropriate response. Do not accept risks that would not be appropriate for a personal trainer business such as Sally's, for example not being able to source trade credit.	(1) A02

Question number	Answer	Mark
7(b)	Competitor 1: 'Vitality' personal instructor	(1) A02

Question number	Answer	Mark
7(c)	Award up to 2 marks for linked points outlining one impact of the economic climate on Sally's business. Award a maximum of 1 mark if points are not linked. If unemployment is rising, people will have less disposable income (1). This will mean that luxuries, such as Sally's personal trainer service, are more likely to become less popular (1). Do not accept economic factors that would not be appropriate for a personal trainer business such as Sally's, for example changes in exchange rate.	(2) A02

Look at this sub-question (Q7(d), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 59, 60, 65, 66 (SPECIMEN SAMS PAPER 2)

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(Total for Question 4 = 8 marks)

- 5 Figure 3 shows a bar gate stock graph which details the delivery of ash wood to Fender's factory for 60 days in 2016. During this time it received three deliveries of ash wood from its supplier. These are marked on Figure 3 as A, B and C.

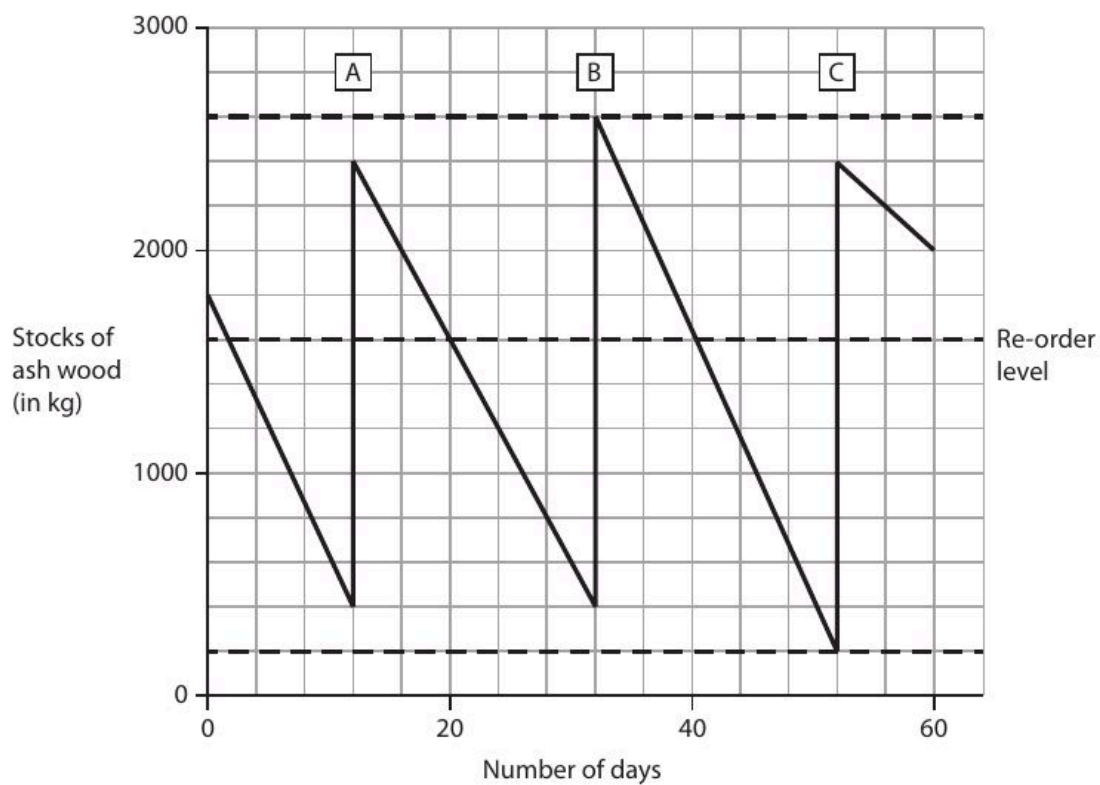


Figure 3

- (a) Identify the amount of ash wood Fender held as a buffer stock.

(1)

- (b) Identify the day when delivery B of ash wood arrived at Fender's factory.

(1)

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In order to improve its competitive advantage, Argos has two options:

Option 1: Lower prices

Option 2: Increase the speed of home delivery

(d) Justify which **one** of these options Argos should choose.

(9)

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- (e) Evaluate whether Sainsbury's is likely to benefit from its takeover of Home Retail Group. You should use the information provided as well as your knowledge of business.

(12)

Indicative content: Increasing the speed of delivery will make more customers want to use Argos for the purchase of goods such as televisions (AO2). However, increasing the speed of delivery may be impossible to achieve and if Argos manages to do it, Amazon will almost certainly copy the approach, eliminating Argos' competitive advantage (AO2). This is because more consumers will be attracted by the faster service. This could mean consumers would be willing to pay the higher prices offered by Argos and use Argos instead of Amazon, reducing Amazon's market share and giving Argos a competitive advantage (AO3a). The result may be that Argos may receive a competitive advantage for only a short period of time (AO3a). The most appropriate strategy for Argos is to increase the speed of delivery. This is because lowering prices is something that Argos will not be able to achieve (AO3b). Amazon is an e-tailer so has a lower level of fixed costs, and will be in a position to undercut Argos on price. Therefore, Argos can achieve competitive advantage only by improving the speed of its home delivery services (AO3b). Level 1 (1-3), Level 2 (4-6), Level 3 (7-9) descriptors apply.

Look at this sub-question (Q4(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 10, 11, 12 (NOV 2021 PAPER 2)

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.

Tesla is a public limited company based in California, USA. Its founder and main shareholder, Elon Musk, wanted to produce an electric car that is affordable to a large number of potential customers. This car is called the *Tesla Model 3* (Figure 3).

Introduced in 2017, the basic version of the Model 3 was originally priced at \$50 000 and the company wanted to reduce this price to \$35 000 by 2019. However, this was difficult to achieve because *Tesla's* California factory suffered from low levels of productivity. These problems resulted in *Tesla* making a \$976 million loss in 2018.



(Source: Grzegorz Czapski/Shutterstock)

Figure 3: *Tesla* Model 3 electric car

Following the introduction of tariffs on US imports by the Chinese government in 2018, *Tesla* decided to invest \$5 billion in the construction of a new car factory in Shanghai, China. This factory will use flow production. However, with only \$2.4 billion of available capital, *Tesla* needs to raise external finance to fund it.

In 2019, *Tesla* decided to close most of its showrooms to reduce costs. The company believes customers will be happy to purchase electric cars using e-commerce.

(Source: adapted from <https://www.telegraph.co.uk/technology/2019/02/28/tesla-launches-long-awaited-35000-car-closes-dealerships-move/> and <https://www.bloomberg.com/news/articles/2018-08-01/tesla-is-said-to-plan-5-billion-investment-in-chinese-factory>)

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4 (a) Outline **one** drawback to *Tesla* of using e-commerce to generate sales.

(2)

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(b) Analyse the benefit to *Tesla* of using flow production in its new factory.

(6)

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(Total for Question 4 = 8 marks)

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Award up to 2 marks for linked points outlining a drawback to Tesla of using e-commerce to generate sales.
Award a maximum of 1 mark if points are not linked.

Customers may be unwilling to make an expensive purchase on the internet (1). They would be worried about making a \$35 000 payment online due to the risk of internet fraud (1).

Customers will want to take the car for a test drive before they purchase one (1). Therefore, they may purchase a different car (1).

Do not accept a drawback of relying on e-commerce that would not relate to Tesla.

Look at this sub-question (Q7(c), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 19, 20, 21, 22, 23, 24, 25 (JUNE 2022 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Cineberg/Shutterstock)

JD Sports plc is a multinational sports, fashion and footwear retailer based in the UK. It owns a number of brands including Footpatrol and Kukri. It has over 2,400 stores in 18 different countries. Most of its brands are targeted at the 'athleisure' market. This market consists of 16–24 year olds who choose to wear sportswear outside of the gym. It uses targeted online advertising to direct customers to one of its websites, such as www.jdsports.co.uk. It also sponsors UK boxing star, Anthony Joshua and Bournemouth football club.

In March 2019, *JD Sports* announced that it was taking over loss-making, rival sports footwear retailer Footasylum for £90.1 million. Footasylum, like *JD Sports*, had its headquarters in Greater Manchester and was started by an ex-*JD Sports* director, David Makin. Footasylum had 69 stores in the UK in similar locations to *JD Sports*.

Footasylum also targeted the 'athleisure' market and used to sell identical trainer brands to *JD Sports* such as Nike, Adidas and Puma. *JD Sports* brands itself as the 'King of trainers', in an attempt to compete with main rival Sports Direct.

In July 2019, the Competition and Markets Authority (CMA) announced an investigation into the takeover. It was worried about the impact that the takeover might have on consumers and suppliers.

(Source: adapted from <https://www.retailgazette.co.uk/blog/2019/07/cma-begins-probe-of-jd-sports-footasylum-takeover/> and <https://www.theguardian.com/business/2019/mar/18/jd-sports-buy-footasylum-stores>)



(Source: chrisdorney/Shutterstock)

Figure 4: The *JD Sports* website

7 (a) Define the term **multinational**.

(1)

Figure 5 shows the percentage of customers the website www.jdsports.co.uk has had from various social media websites in 2020.

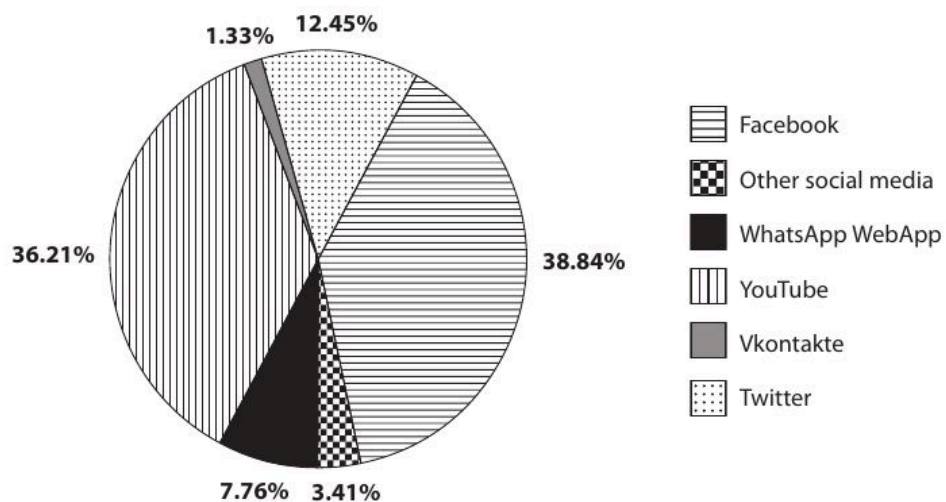


Figure 5

(Source: adapted from <https://www.similarweb.com/website/jdsports.co.uk#social>)

(b) Using the information in Figure 5, identify the social media site that generated the smallest percentage of customers for www.jdsports.co.uk.

(1)





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(c) Outline **one** benefit to *JD Sports* of having a website.

(2)

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P 6 5 5 6 3 A 0 2 1 2 8



In order to improve its competitive advantage *JD Sports* is considering two options:

Option 1: targeted online advertising

Option 2: sponsorship.

(d) Justify which **one** of these two options *JD Sports* should choose.

(9)

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(e) Evaluate whether the takeover of Footasylum will allow *JD Sports* to increase its profit. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS

25



P 6 5 5 6 3 A 0 2 5 2 8

Award up to 2 marks for linked points outlining a benefit to JD Sports. Award a maximum of 1 mark if points are not linked. The business will now be able to sell sportswear to a global market (1). As a result, sales revenue should increase (1). The business may no longer need as many bricks and mortar/high street stores (1). Therefore, reducing the rent paid by the Manchester-based clothing business (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Look at this sub-question (Q3(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 6, 7, 8 (JUNE 2024 PAPER 2)

- 3 (a) Which **one** of the following elements of the marketing mix relates to the distribution of a product to the consumer?

(1)

Select **one** answer.

- ☐ A Place
☐ B Price
☐ C Product
☐ D Promotion

Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

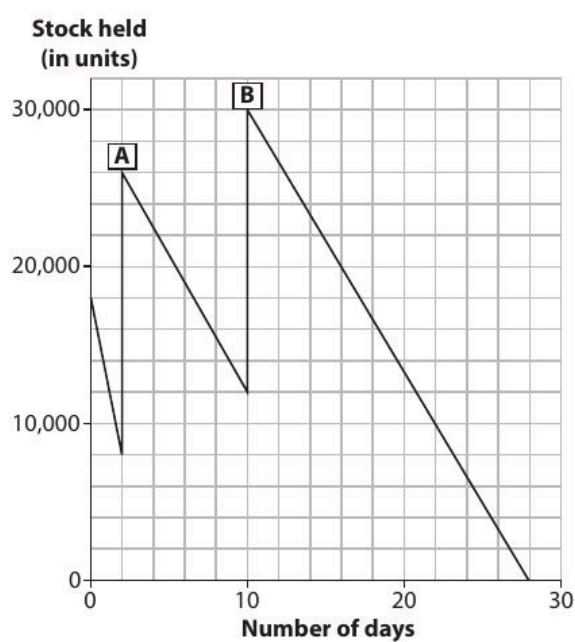


Figure 1

- (b) Using the information in Figure 1, calculate how many days it took for the business to run out of stock after receiving its last delivery in June 2023.

(2)

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(c) Explain **one** reason why a business may use sponsorship to promote a product.

(3)

(d) Explain **one** disadvantage to a business of using remote working.

(3)



7

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(e) Discuss the benefit to a business from reducing its environmental impact.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



The only correct answer is A - Place. A is not correct because it does not relate to distribution. B is not correct because it does not relate to distribution. C is not correct because it does not relate to distribution.

2.2.5 Using the marketing mix (6 questions)

Specimen SAMs · Paper 2 · Q6(c) · \$B

Justify

9 marks

Look at this sub-question (Q6(c), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 56, 57, 64 (SPECIMEN SAMS PAPER 2)

(c) Explain **one** reason why a business may decide to pay its workers a bonus.

(3)

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(d) Explain **one** drawback to a business of not being able to retain its employees.

(3)

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(e) Discuss the likely benefit to a business of having a decentralised organisational structure.

(6)

(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figure 4 and 5 and read Extract B, then answer Question 7.

- 7 (a) Define the term 'takeover'.

(1)

- (b) Using the chart in Figure 5, identify the age group with which Argos' promotional strategy appears to have been most effective.

(1)

- (c) Outline **one** reason why being an e-tailer gives Amazon an advantage over Argos.

(2)

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Indicative content: Increasing prices will further position Fender's musical instruments as a luxury product (AO2). However, increasing prices could make Fender appear more of a niche market firm rather than a mass market firm (AO2). This means that the fall in demand from raising prices is likely to be insignificant, causing revenue to rise and with costs remaining the same profit should increase (AO3a). As a result, demand for Fender's musical instruments could fall if the economy moves into a recession (AO3a). The most appropriate option for Fender may be to increase advertising since Fender already charge as much as £10,000 for a guitar, therefore if they could attract more customers revenue will increase significantly (AO3b). However, the impact of increasing advertising depends on whether the increase in demand for Fender's guitars generates enough extra revenue to cover the additional cost of the advertising. If social media is used it will probably lead to the largest increase in profits (AO3b). Level 1 (1-3), Level 2 (4-6), Level 3 (7-9) descriptors apply.

Look at this sub-question (Q3(c), 3 marks) within the pages below.

ORIGINAL PAPER — PAGES 7, 8, 9 (NOV 2020 PAPER 2)

3 (a) Which **one** of the following is a stage in the sales process?

(1)

Select **one** answer.

- ☐ A Product knowledge
- ☐ B Product quality
- ☐ C Production
- ☐ D Productivity

In 2018 a business sold three products, X, Y and Z. Figure 1 shows the sales revenue generated for each of these products.

Sales revenue for products X, Y and Z in 2018

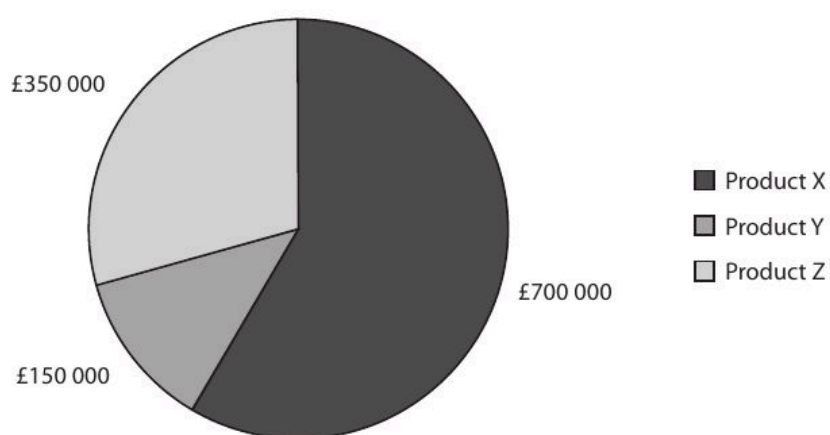


Figure 1

(b) Using the information in Figure 1, calculate, to 2 decimal places, the percentage of total sales revenue made by product X in 2018. You are advised to show your workings.

(2)

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(c) Explain **one** drawback to a business from differentiating its product.

(3)

(d) Explain **one** impact on a business from increased globalisation.

(3)

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(e) Discuss the impact on a business of becoming a public limited company (plc).

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS



9

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Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks. This may cause variable costs to increase (1). Therefore, the differentiation may not add value (1). Thus, profit per product sold may decrease (1). Differentiation could be expensive (1). Therefore, cash outflows may increase (1). This could cause the business to suffer poor cash flow (1). Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

Look at this sub-question (Q7(a), 1 marks) within the pages below.

ORIGINAL PAPER — PAGES 18, 19, 20, 21, 22, 23, 24 (NOV 2021 PAPER 2)

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: Dmitry Kalinovsky/Shutterstock)

Figure 4: Automation at an ASOS warehouse

customer orders the next day, so long as the order is placed online before midnight. Automation has also given ASOS the ability to increase the range of clothes it can sell on its website.

ASOS plc is an online fashion retailer which targets customers in their 20s. The company started in 2000 and since then it has grown significantly. One of the main reasons for its growth is what Chief Executive Nick Beighton calls, the 'ASOS Experience'.

The company focuses on high quality logistics to distribute its products and increased use of warehouse technology. This has resulted in a warehouse and distribution system which is almost fully automated (Figure 4). This allows ASOS to deliver



Figure 5: ASOS's Instagram bio

However, the market for clothes in the UK is becoming increasingly competitive. Despite a significant growth in sales, ASOS's profits have fallen. This has caused the company's share price to fall. ASOS has responded by focusing on viral advertising. Its latest campaign is to get customers to use the hashtag #AsSeenOnMe (Figure 5) when they are showing off their latest ASOS outfit on social media. In return, ASOS gives customers the opportunity to be featured on the ASOS Instagram feed which has 7.1 million followers.

(Source: adapted from <https://jilt.com/upsell/asos-shipping-logistics/> and <https://sproutsocial.com/insights/social-media-marketing-examples/>)



- 7 (a) Give **one** element of the marketing mix.

(1)

Figure 6 shows the ASOS share price over time.

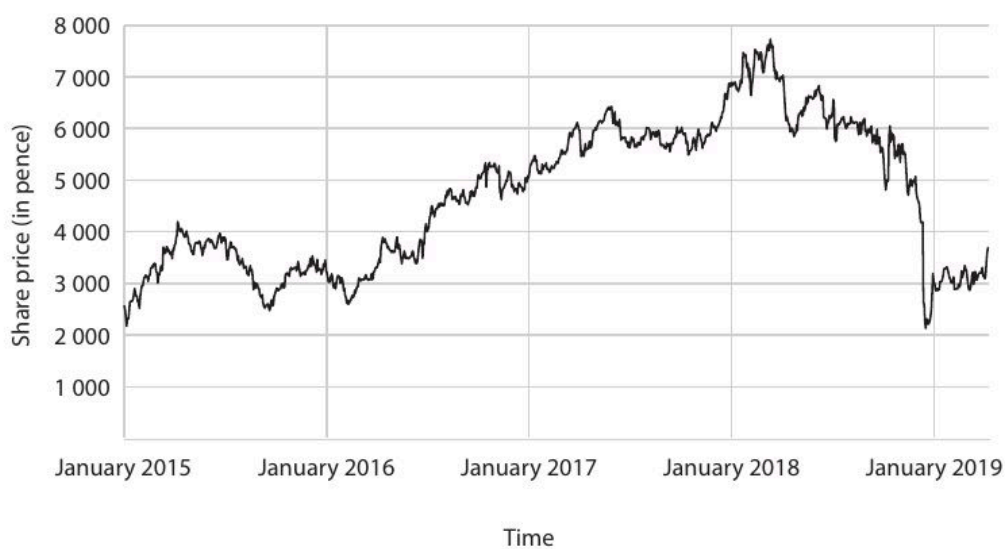


Figure 6

(Source: adapted from <https://www.asosplc.com/investors/share-price/share-price-chart>)

- (b) Using the information in Figure 6, identify the year when the ASOS share price was higher than £70.

(1)



(c) Outline **one** advantage to ASOS of increasing the range of products offered for sale on its website.

(2)

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In order to increase its profits, ASOS is considering two options:

Option 1: lower prices

Option 2: advertise on more social media channels.

(d) Justify which **one** of these two options ASOS should choose.

(9)



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(e) Evaluate whether high quality logistics will give ASOS a competitive advantage.
You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS

TOTAL FOR PAPER = 90 MARKS



Award 1 mark for an element of the marketing mix.

Price (1).

Product (1).

Promotion (1).

Place (1).

Look at this sub-question (Q6(c), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 16, 17, 18 (JUNE 2022 PAPER 2)

6 (a) State **one** good that *Greggs* produces in its factories.

(1)

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(b) Outline **one** benefit to *Greggs* of being a public limited company (plc).

(2)

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In order to continue the growth in its sales, *Greggs* is considering two options:

Option 1: differentiate its product range

Option 2: lower its prices.

(c) Justify which **one** of these two options *Greggs* should choose.

(9)

Handwriting practice lines for the answer to question (c).



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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

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Indicative content: New products, such as vegan sausage rolls, can attract national publicity (AO2). Lower prices for items like coffee and bacon rolls should attract more customers considering the market is so competitive (AO2). Therefore, potential customers could become aware of the fact that Greggs now sell new and exciting products. As a result, more Greggs may experience an increase in demand which could lead to rising sales (AO3a). This is because, the value for money offered by Greggs is now better than rival providers of products such as Costa and Starbucks. As a result, customers may switch loyalties to Greggs allowing it to build a larger customer base which then allows for further sales growth (AO3a). However, vegan sausage rolls are a niche product since only a small percentage of the population are vegan. Therefore, the impact on sales growth may be quite small. It depends if the national publicity generated makes non-vegans interested in Greggs' differentiated product line (AO3b). However, the reduction in price could be matched by Greggs' rivals. This would remove any competitive advantage that Greggs would have from lowering prices in the first place. Therefore, the success of this strategy depends on the likely reaction of rival firms in the competitive market (AO3b). Levels: Level 0 No rewardable material. Level 1 (1–3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4–6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7–9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Look at this sub-question (Q4(a), 2 marks) within the pages below.

ORIGINAL PAPER — PAGES 10, 11, 26 (JUNE 2023 PAPER 2)

SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

- 4** (a) Outline **one** possible method, other than faster delivery, that *Ocado* could use to differentiate its service.

(2)

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(b) Analyse the benefit to *Ocado* of good customer service.

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(Total for Question 4 = 8 marks)



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SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



Figure 3: An Ocado 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service.

In 2020, Ocado's sales rose by more than 40% as demand for online grocery shopping increased. Ocado has invested in new technology in its warehouses. This has allowed Ocado to use a just in time (JIT) stock management system. As part of this investment, Ocado's robots now can pick a customer's order in less than 5 minutes. The robots have artificial intelligence and know that they should place heavy items such as milk at the bottom of a bag. This level of automation allowed Ocado to process an extra 30,000 orders each week during 2020.

In order to increase its share of the grocery market, Ocado is considering expanding its range of 'own label' products to improve its offer to customers.

(Source: adapted from <https://www.theverge.com/2018/5/8/17331250/automated-warehouses-jobs-ocado-andover-amazon> and <https://www.independent.co.uk/news/business/news/coronavirus-ocado-sales-rise-latest-online-grocery-shopping-covid-19-a9500966.html>)



Award up to 2 marks for linked points outlining a method that Ocado could use to differentiate its service. Award a maximum of 1 mark if points are not linked. It could offer more frequent delivery slots (1). As a result, its service would stand out compared to that of Asda (1). Ocado could allow customers to track their grocery delivery in real time on an app (1). Therefore, Ocado customers will be getting a more convenient service than that offered by Asda (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Look at this sub-question (Q6(c), 9 marks) within the pages below.

ORIGINAL PAPER — PAGES 15, 16, 17, 26 (JUNE 2023 PAPER 2)

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6 (a) State **one** possible influence on the pricing strategy used by *Ocado*.

(1)

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(b) Outline **one** drawback to *Ocado* of using just in time (JIT) stock control.

(2)

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(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS



17

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SECTION B

Look at Figure 3 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



Figure 3: An Ocado 'own label' product

Ocado plc is an online grocery retailer that does not own physical shops. Ocado purchases its groceries from food manufacturers such as Heinz or from other grocery retailers such as Marks & Spencer. It then sells these groceries through the Ocado website or through its app. Groceries are then delivered to each customer's home. The company already has a 62% 'excellent' rating on Trustpilot for its customer service. This is higher than other supermarkets, such as Asda, that also offer online grocery shopping. Ocado is considering introducing a one-hour, same day delivery service.

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Indicative content: Offering a faster delivery service may meet the needs of Ocado's customers since there has been a 40% increase in demand for online grocery shopping during 2020 (AO2). Increasing its product range may satisfy the demands of grocery shoppers who may be looking for a wider range of Ocado's own brand products or those that are stocked by other supermarkets e.g. Heinz baked beans (AO2). As a result, Ocado's service may become more convenient than visiting a physical supermarket. This is because if Ocado can deliver so quickly it may be faster to order from them, than to visit a physical supermarket. This should cause revenues to increase, leading to increased market share (AO3a). Therefore, Ocado customers may now be able to purchase Marks & Spencer groceries as well as more of their own brand products, which may make them more attractive in terms of choice of products than rivals such as Asda. This may lead to increased sales, resulting in greater market share (AO3a). However, as orders increase further it may be difficult for Ocado to keep up with growing demand in the market. If deliveries start to become unreliable, then the brand could be damaged. Ocado's warehouses may not have much more capacity to deal with further, increased orders (AO3b). However, these products are also available at physical supermarkets, and consumers may want to touch/see the food e.g. freshness of fruit/fish. Thus, increasing product choice may only lead to limited increases in market share (AO3b).

Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b).

Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b).

Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).